money into Air India is halted, all private airlines will benefit, as the prices charged by Air India for tickets are likely to go up.

In the Indian context, zombie firms are particularly harmful given the weak discipline of the budget process. When a government faces a soft budget constraint, there is a greater temptation to support zombie firms to walk the earth for a few years more. This is one reason why public sector companies are a problem for the economy: there is a greater risk of them becoming zombie firms backed by the exchequer. This is bad for public finance and bad for the economy.

Another pathway through which a kind of zombie firms comes about is when some firms violate laws or evade taxes. In India, we see many markets where low-productivity firms coexist with high-productivity firms. The competitive market process should force the exit of low-productivity firms. This does not happen when the low-productivity firms violate laws—e.g., a low-productivity firm may emit pollution, while the high-productivity firm incurs the higher costs associated with the pollution control required in the law. In similar fashion, a low-productivity firm may survive, in competition against a high-productivity firm, by evading taxes. [3]

When enforcement capabilities, of laws or of taxes, are improved, low-productivity firms will exit. Production will shift from low-productivity firms to high-productivity firms. This reallocation will yield GDP growth, in and of itself.

In some areas, we have seen the meteoric rise of certain firms who are allied with the prevailing ruling party. For some time, such politically connected firms fare well, through harmful means such as obtaining support from regulators. When the sweetheart arrangements break down, such firms tend to collapse, as their skill lies in political manoeuvring and not in achieving high productivity. When institutional quality improves in India, the time period for which such firms will have a happy ride will come down. [4]